

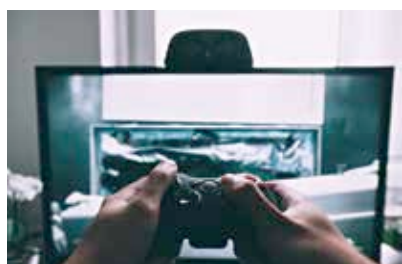
words, these games are a “no-go”.

- In case, players have any issues, there should be a grievance officer, a chief compliance officer and a nodal contact person who will be a point of contact with law enforcement agencies.

The regulatory body is planning to design a protective framework for women gamers too.

Why is India planning to regulate online gaming?

Broadly speaking, these are some of the concerns around online gaming that seeks regulation:



- **Cyberattacks:** As per a ToI report, out of 703 Indian gamers surveyed in 2021, four out of five players have reportedly lost money to the tune of about ₹7,800. Around 35% of the respondents claimed to have got infected by malicious programs on their gaming devices. A common vector of cyberattacks is phishing.
 - **Addiction:** An Indian study has found that about 3.5% of Indian adolescents suffer from Internet gaming disorder. This is a driving cause of anxiety and depression among young minds.
 - **Loss of money:** The above two factors could drain the player's wallet. Even fraud and a service shutting down can lead to the loss of real money.
- Now, one of the problems dragging down the regulation could be the way different Indian states have conflicting rules about games, specifically betting



and gambling. There is no clear consensus about whether a game is chance or skill-based.

Also, some of the off-shore players in the space are apparently able to evade tax because of the confused state of affairs.

While we are discussing this topic, the Chinese regulation of online games comes to our mind. For the uninitiated, here's what happened:

China Reining In Online Gaming

Culturally, China considers online games as “spiritual opium” that distracts young minds from focusing on productive activities.

In line with that sentiment, the first set of rules was passed in 2019 whereby any minor players below 18 years old were permitted to play only 90 minutes of gaming on weekdays and three hours per day during weekends. Owing to alleged pressure from concerned parents, the Chinese government increased the restrictions that limited the allowed gameplay hour to 8 - 9 PM on Fridays, Saturdays and Sundays.

This year, CNG, the country's premier research and data provider came forward with the claim that the new regulations have brought about “remarkable results” in curbing online game addiction.

It seems like India must have drawn some inspiration from the recent Chi-

nese clampdown on the online gaming industry in the country. In any case, let's see what the various stakeholders in the Indian context think.

Indian Gaming Industry's Reaction To Online Game Regulation

Here's what the Indian Gaming Industry has to say in the new regulatory discussion:

Salone Sehgal, Founding General Partner, Lumikai shares her company's support for the new regulations as she says “Lumikai is heartened to see our research and recommendations assist in shaping policy and regulation”.

Parth Chadha, CEO and Co-Founder, STAN also lauded the new rules, as “steps to uplift these sectors



Salone Sehgal (Left), Parth Chadha (Middle), and Roland Landers (Right)

(gaming and eSports with increased regulatory clarity”.

Roland Landers, CEO of All India Gaming Federation, in an interview with News18 Tech, talks about the tax implication around this matter. He comments, “if taxes are done rationally, it will be a big boost to the industry - also curbing the grey market is vital for the betterment of the sector”. His reasoning is that “there is a grey market in the online gaming space as well, which consists of people (brands) who are off-shore,” and “they do not pay taxes”. In a different statement, he added the regulations “hopefully reduce the State-wise regulatory fragmentation that was a big challenge for the industry”.

Well, it's too early to comment on how the new gaming regulations would play out and what difference would they bring about. In time, we will. 

